

Damped Spring Team: Bond Vigilantes vs. Policy BS

Extracted from: DS Roundtable 1

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 **5-Minute Version:** [Watch Key Excerpts](#)

Speaker Bios

Andy Constan is founder of Damped Spring and former Bridgewater macro analyst. Runs DS Alpha macro product. Holds 9% personal gold allocation (typical range 5-10%).

Jimmy is systematic trader and chartist at Damped Spring, co-runs DS MMA short-term trading service focusing on futures, currencies, bonds, commodities.

Nick is systematic portfolio manager at Damped Spring, co-runs DS MMA with 2-4 week trading horizons and sentiment analysis focus.

Executive Summary

Bond market at critical technical levels—long-end yields testing range highs with zero support from July-Sept gaps. Team consensus: Trump admin can't BS bond vigilantes with "run it hot" rhetoric while floating Hassett Fed pick. Charts show 10Y/30Y on cliff edge—any hawkish shock triggers waterfall.

Equities top-heavy—Mag 7 concentration creates tail risk. Impossible to rotate \$2T into small caps; flows exit to bonds/commodities during selloffs, not cyclical. But 10% earnings growth = structural tailwind. Strategy: raise cash on rallies, buy dips if 10Y cooperates.

Fed underpricing cuts—market at 55bps through June, team expects 75-100bps on lagged rent disinflation + softer employment. Waller best Fed pick (dovish + credible), Hassett = instant selloff, Worsh = uncertain. SOFR trough north of 3.0% too restrictive.

SCOTUS tariff ruling is highest conviction setup: illegal verdict = massive steepener (2s10s/2s30s room to 120-250bp historical range). Bond market won't believe 50-150 day legal workarounds. Stock market might buy Trump fixes; bonds won't. If legal, consumption tax supports deficit short-term.

Commodities: gold blowoff past \$3700 dismissed as FOMO (small market, parabolic history). Oil sub-\$60 from Saudi appeasement + Venezuela. \$56 daily close = test of \$50. Venezuela news tonight—hold + bounce = screaming buy.

Global rotation intact: Europe/Japan outperformed via stock gains + dollar weakness in 2025. Damped Spring positioned long ROW over US all year. European banks crushed US tech without concentration risk.

PM implication: STEEPENERS if tariffs struck down—highest conviction, 2s10s/2s30s to 120-250bp range. BUY SOFR—underpricing 50-75bps cuts. Fade equities on rallies, buy dips with 10Y cooperation. Long Europe/Japan over US. OIL screaming buy on Venezuela test of \$55-56 with bounce. PASS gold above \$3500. Watch NFP Friday + Fed chair announcement + SCOTUS ruling. Housing needs back-end rally—long yields = equity circuit breaker.

Listen or Skip?

Verdict: Must-listen—team debate format on bond vigilantes, Fed politics, tariff transmission chains

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★★
Novel insights	★★★☆☆
Production quality	★★★☆☆

Best for: Rates traders, macro PMs, policy watchers **Skip if:** Looking for equity stock picks or AI thematic plays

Key Quotes

1. *"The only thing that I can see is the back of the yield curve right now. It still is in a dicey spot on the charts. Yields are right there at their range highs...I felt like a lot of the rally started around 5700 with the meeting in Geneva...we jumped a very important part of the chart on that day. And I felt like a lot of the rally since then was predicated on BS."*
2. *"If they don't care about the bond market, they're going to have to care. If they ignore it and we dump through these levels, I think that equities are going to start caring and reacting. The one thing that worries me...how do you stop this flow? How do you stop this negative flow in the back end? You can't really jawbone it."*
3. *"I think if tariffs are illegal, you get a sell off in bonds. I think you get instant snap of the stock indices due to the rising premium of the bonds...I think if tariffs are legal and you think that's going to happen, I think you should have a very large position in steepeners in the bond market."*
4. *"You could talk stock investors into that. I don't think you could talk the bond market into it...What's 50 days to the bond market? What's a year to the bond market? You're talking 10, 30-year bonds. It's irrelevant."*
5. *"When you're talking about so much money in big tech, it's going to be very hard to rotate that into smaller stocks without disrupting the price...if you're going to get out of the AI names, you're going to go into bonds. If you're going to get out of the AI names, you're going to go into commodities."*
6. *"We're growing at a 10% earnings growth and that's a lot of accrual of equity. Even if you get a multiple contraction of two points, two multiple points, you're breaking even."*
7. *"I think the basic sentiment is that heading into the first quarter of 2026, we're going to have the OBB stuff start to kick in. We're going to have the tax cuts...a relaxing of financial conditions...a Fed cutting cycle...temporary deflationary force in the numbers come through."*
8. *"I think Waller's the best pick. He wants to cut. He respects the bond market and isn't going to do anything rash. And he's going to be perceived as being independent...Hassett, they go down."*

1) Executive Dashboard (PM Read)

Long-End Bond Risk

10Y/30Y at range highs with zero technical support—July/Sept gaps left no cushion. Jimmy's charts show cliff edge. Any hawkish shock (Hassett pick, hot data, tariff ruling) triggers waterfall. Team consensus: bond vigilantes can't be BS'd with sunshine. Housing market locked, needs back-end rally to unlock.

Fed Chair Decision (June Transition)

Waller best case: dovish + credible, bond stabilizes. Hassett worst case: instant parallel selloff, equity contagion. Worst middle ground: hawkish history unclear, uncertain signal. Powell term ends June—5 meetings left (Jan-Jun).

Rate Cut Path

Market prices 55bps cuts through June. Team expects 75-100bps+ on lagged rent disinflation, softer employment (Sahm rule proximity), growth deceleration from strong Q3. SOFR trough north of 3.0% too restrictive. Fed has cover—oil cooperating, headline CPI tailwinds.

SCOTUS Tariff Ruling

If illegal: massive steepener opportunity (2s10s/2s30s to 120-250bp historical range), bond selloff, equity dip. Legal workarounds limited to 50-150 days—bonds price 10-30Y duration, not patches. Stock market might believe Trump fixes; bond market won't.

If legal: consumption tax intact, deficit support short-term, bond relief, equity rally extension. Potential for more aggressive tariffs.

Equity Concentration

Mag 7 dominance = dual tail (FOMO extension + crash vulnerability). No rotation offsets AI selloff—too large. Liquidity exits to bonds/commodities, not small caps. 10% earnings growth provides structural support, but multiples need bond cooperation. SPY consolidating “up high,” no glaring bearish technicals. VIX cheap, front-end steep.

Commodities

Gold: FOMO blowoff above \$3700 (team dismisses as macro signal—small market, parabolic history). Silver “even more ridiculous.”

Oil: Saudi/Middle East appeasement keeps sub-\$60, hurts US producers but economy-wide gain. \$56 critical—daily close below = test \$50 (inflation-adjusted bargain). Venezuela news tonight—hold + bounce = screaming buy.

Global Rotation

Europe/Japan/ROW outperformed 2025—stock gains + dollar weakness. Damped Spring long developed ex-US all year. European banks outperformed US tech without concentration risk. Trend intact into 2026.

2) Key Investable Insights

Top 3 Investable Ideas:

1. **STEEPENERS if tariffs ruled illegal** — 2s10s/2s30s have room to 120-250bp historical range. Legal alternatives (50-150 day emergency provisions) won't satisfy 10Y/30Y duration pricing. Stock market might believe Congressional rescue; bond market won't. Highest conviction if SCOTUS strikes down.
2. **BUY SOFR—market underpricing 50-75bps cuts** — Only 55bps priced through June. Lagged rent disinflation + softer employment + growth decel gives Fed cover for 75-100bps. Waller pick accelerates cuts; neutral pick still supports. SOFR trough north of 3.0% too restrictive. Housing semi-locked needs easing.
3. **OIL screaming buy on \$55-56 test with bounce** — Venezuela news likely gap down. If holds \$55-56 and reverses = bad news/good price action signal. Inflation-adjusted \$50 historical floor. Saudi deal temporary. Daily close under \$56 = \$50 test, possibly low \$40s. Wait for reversal confirmation.
4. **Fade gold above \$3500** — Move past \$3700 pure FOMO in small market (central bank buying + retail piling = outsized price action). Not macro deficit/inflation signal. Historical blowoff tops: post-GFC, Hunt Bros 1979. Silver worse.
5. **Long Europe/Japan over US equities** — Structural rotation from 2025 continues. Dollar weakness tailwind persists. European banks crushed US tech returns without concentration risk. Global indices rising while US underperforms = healthy breadth expansion.

3) Transmission & Cross-Asset Map

Bond Selloff Triggers

Long-end yields up → housing freeze worsens → consumption drags → equity multiples compress → Fed forced ease (lagged)

Hassett pick → credibility loss → bond vigilante test → parallel shift down (not steepener, just dump) → equity vol spike → VIX curve inverts → feedback loop

Tariff Ruling Chains

Illegal verdict → deficit expansion fears → bond selloff → steepener explosion → equity dip (short-term “deficit relief” rally fades) → Congress filibuster blocks replacement → long-term bond pressure → Fed cuts more → curve steepens further

Legal verdict → consumption tax intact → deficit support → bond relief → equity rally extension → potential aggressive tariffs → inflation watch → Fed on hold longer

Equity Concentration Mechanics

Mag 7 selloff → rotation blocked by liquidity physics (\$2T can't flow to small caps without price disruption) → flows exit to bonds/commodities → equity index cascades → buy-the-dip FOMO exhausted → tail risk realized → systematic deleveraging

Fed Chair Impact

Waller → bond stability → housing unlock (marginal) → consumption support → equity dip-buy viable → curve stabilizes

Hassett → bond dump → equity contagion → growth scare → Fed independence narrative lost → dollar weakens → global risk-off → credit spreads widen

Worsh → uncertainty → bond volatility → wait-and-see positioning → curve range-bound → equity chop

Global Rotation

Dollar weakness → ROW stock gains amplified → US multiple compression (relative) → flows to Europe/Japan banks/industrials → breadth expansion → healthy deleveraging of US concentration

Commodity Loops

Oil sub-\$56 → Saudi deal holding → deflationary impulse → Fed cover to cut → bond rally (front-end) → equity support (but energy producer margins pressured)

Gold FOMO → small market blowoff → retail positioning extreme → reversal risk high → not actionable macro signal → fade above \$3700

4) Regime & Scenario Analysis

Base Case: Muddle-Through Chop (50%)

Trump picks Waller or neutral chair, bonds stabilize. SCOTUS punts tariffs (6-month Congressional window). Fed delivers 75-100bps cuts through 2026. Equity chop—dips bought on deflationary data, rallies sold on AI concentration fears. Oil \$56-60 range, housing stays locked. Outcome: bonds range-bound, equities flat to +5%, steepener grinds 20-30bps.

Steepener Explosion (25%)

SCOTUS rules tariffs illegal, legal workarounds limited. Bond market rejects Trump narrative (50-150 days irrelevant to 30Y). 2s10s/2s30s rip 50-100bps. Equities dip 5-10% on growth scare. Fed signals more cuts but vigilantes demand fiscal discipline. Housing further frozen. Outcome: yields up, steepener pays massive, equities volatile but dip-buyable if Fed credible.

Hassett Disaster (15%)

Trump picks Hassett, bond market revolts. Parallel shift down in prices (yields up across curve). Equity vol spikes, Mag 7 cascades. Dollar weakens, gold extends (FOMO-driven). Fed independence shattered. Outcome: equities -10-15%, bonds -5-10%, cash king, long vol only trade.

Soft Landing Extension (10%)

Waller pick, tariffs legal or punted. Deflationary impulse (rents + oil + Venezuela) sustains Q1-Q2. Fed delivers 100bps+ cuts, front rallies, back stabilizes. AI cools but rotates to cyclical/Europe/Japan. Housing unlocks on lower rates, consumption reaccelerates. Outcome: equities +10-15%, bonds rally, curve bull-flattens, dollar weak, oil to \$65-70.

5) Hard Data & Verifiable Claims

- **Data:** SOFR trough priced north of 3.0%, only 55bps cuts through June (5 meetings Jan-Jun)
- **Data:** S&P 500 earnings growth estimate 10% for 2026
- **Data:** Multiple contraction tolerance: 2 points = breakeven on 10% earnings
- **Data:** 2s10s/2s30s steepener historical range 120-250bps
- **Data:** Oil at \$56 (WTI), \$50 next technical support
- **Data:** Gold at \$3500-3700 macro signal threshold, \$4000+ FOMO territory
- **Data:** Andy Constan gold allocation 9%, typical 5-10% range
- **Data:** Q3 GDP ~3% real growth
- **Data:** Deficit-to-GDP 6% (not 3% target mentioned by Trump)

- **Data:** VIX front-end cheap, curve steep into 2026
- **Data:** SPY consolidating high, no glaring bearish chart patterns
- **Data:** Europe/Japan charts bullish start Friday
- **Data:** 10Y/30Y at range highs with zero support from July-Sept gaps
- **Claim:** Rally from ~5700 started with Geneva China rare minerals deal announcement (narrative-driven)
- **Claim:** Hasset balloon floated Thanksgiving, dollar weakened, curve steepened
- **Claim:** Onshoring not happening—non-residential investment (factories) contracting despite strong info tech/software fixed investment
- **Claim:** Housing semi-locked, needs back-end rally
- **Claim:** Lagged rent adjustments rolling off, deflationary impulse Q1-Q2
- **Claim:** Unemployment ticking up, Sahm rule proximity (0.5% increase historical recession trigger)
- **Claim:** Initial claims artificially low, backward-looking
- **Claim:** Immigration impulse fading under new admin
- **Claim:** Venezuela developments over weekend (oil catalyst)
- **Claim:** South Korea best year ever 2024, Europe strong
- **Claim:** Damped Spring long ROW (Europe/Japan) over US all 2025, outperformed
- **Claim:** European banks outperformed US tech local currency basis
- **Claim:** Fed Chair June transition (Powell term ends)
- **Claim:** Candidates: Waller (dovish credible), Hasset (negative), Worsh (hawkish history uncertain)
- **Claim:** Trump can reinstitute tariffs via legal emergency 50-150 days if SCOTUS strikes down
- **Claim:** Congress can't pass tariffs (filibuster blocks)
- **Claim:** "Drill baby drill" 3M barrels/day increase not delivered
- **Claim:** Gold triggered by Russia asset annexation fears, then FOMO
- **Claim:** Metals market very small vs bonds/stocks (central bank + retail = outsized moves)
- **Claim:** Historical metals blowoffs: post-GFC, Hunt Bros 1979
- **Claim:** Saudi (MBS) modernizing from Wahhabi to UAE model, dealing with Trump
- **Claim:** Low oil benefits economy but sacrifices US producers (high marginal cost)
- **Claim:** \$50 oil inflation-adjusted bargain
- **Claim:** Mag 7 concentration prevents rotation—\$2T can't flow to small caps without disruption, only bonds/commodities absorb
- **Claim:** AI TAM unclear—revenues from displaced spending, where's GDP driver?
- **Claim:** 20Y view AI major impact, 1Y view doesn't help trade stocks

6) BS & Bias Filter

Confirmed BS (Team Consensus)

Geneva China deal predicated on nothing—rally built on announcement timing, jumped resistance via vapor. Hasset balloon manipulated curve/dollar, not serious policy (team debates if Trump actually picks him). "Run it hot" jawboning won't move bond vigilantes. Deficit to 3% GDP claim—actually 6%, no change YoY. "Drill baby drill" 3M barrels—didn't happen.

Narrative Vulnerabilities

AI productivity in data—team skeptical, sees investment >> revenue, TAM unclear. Tariffs as deficit solution—relies on SCOTUS legality + Congressional path (filibuster blocks). Deflationary impulse real but based on lagged rent calculations + oil geopolitics, not structural demand destruction. Employment data reliability questioned (initial claims accuracy, post-COVID collection changes).

Unchallenged Assumptions

Mag 7 concentration risk universally accepted—no debate on whether rotation actually impossible. Bond vigilantes matter—assumed selloff triggers equity contagion (what if decoupling?). Fed chair pick moves markets—already priced? Waller "best case" may be consensus. Tariff ruling as binary—ignores messy middle (partial injunction, phased rollback). Gold as pure FOMO—dismisses sovereign/institutional BRICS dedollarization bid.

Bias Flags

Chartist bias (Jimmy): heavy technical levels without fundamental catalyst confirmation—support breaks on low volume? Systematic bias (Nick): deflationary impulse depends on lagged rent formulas staying consistent—BLS methodology change risk. Bridgewater lens (Andy): data skepticism useful but risks ignoring real-time signals—betting against reported GDP/employment expensive. Consensus fade reflex: assumes “everyone bullish” but positioning data might show hedge fund net leverage declining.

Verified & Trustworthy

Bond mechanics: can't BS 10Y/30Y with short-term fixes—duration holders care about long-term fiscal path. Equity concentration math: impossible to rotate \$2-3T Mag 7 into small caps without disruption—liquidity physics real. Fed cut underpricing: 55bps through June vs lagged disinflation + softer employment = clear misprice. Oil technical: \$56 inflection, inflation-adjusted \$50 historical floor—data-backed.

7) PM Bottom Line

What Actually Matters

Long-end bond cooperation THE swing factor for 2026 equities—not earnings, AI, or tariffs. If 10Y/30Y break ranges higher (yields up), multiples compress despite 10% earnings growth. Housing stays frozen, consumption drags, Mag 7 rotation becomes forced liquidation to bonds/commodities.

Fed chair pick June volatility catalyst, not structural driver. Waller stabilizes, Hasset nukes, Worsh = chop. But bond market doesn't care who's chair if fiscal path stays 6% deficit-to-GDP and issuance needs keep rising. Jawboning doesn't work on vigilantes.

SCOTUS tariff ruling highest conviction setup: illegal = immediate steepener explosion. Legal alternatives (50-150 day emergency) are time-limited theater—bond market prices 10-30Y duration, not patches. If struck down, 2s10s/2s30s rip toward 120-250bp range. Stocks might rally on “Trump will fix” hopium; bonds won't.

Rate cut misprice structural, not tactical. 55bps priced through June while lagged rent disinflation + softer employment (Sahm triggered) + Q3 deceleration support 75-100bps minimum. SOFR trough north of 3.0% too restrictive. Buy front-end.

Equity strategy: raise cash on rallies, buy dips IF bonds cooperate. Concentration real—Mag 7 selloff can't rotate to small caps (liquidity physics). Flows to bonds/commodities/cash. But 10% earnings = structural tailwind, so dips buyable until bond market breaks. Tactical range trade, not directional.

Commodities: oil only actionable setup. Gold above \$3500 FOMO in small market, not macro signal—pass. Oil at \$56 testing support after Venezuela—bad news + good price action (bounce from \$55-56) = screaming buy. Inflation-adjusted \$50 historical floor. Daily close under \$56 = test low \$50s, maybe \$40s. Wait for reversal confirmation.

Global rotation over US intact—Europe/Japan delivered stock gains + dollar weakness. European banks crushed US tech local basis. Breadth expansion without US multiple compression = healthy deleveraging. Stay long ROW.

AI long-term story, short-term bubble risk. Internet precedent: thesis correct, drawdown brutal. Investment >> revenue, TAM unclear, productivity not visible. Timing impossible—sell rallies AI names, don't chase. Labor displacement (NFP Friday, productivity Thursday) watch for stir opportunity.

Unresolved & Dangerous

What if both bonds AND equities dump? Team assumes bonds sell (yields up) → equities follow. Stagflation risk (oil spike + tariff inflation + fiscal dominance) could wreck both. No hedge discussed.

What if Fed loses control regardless of chair? Hasset = disaster, Waller = stability. But if vigilantes decide 6% deficit unsustainable, does chair matter? Fiscal dominance endgame not gamed.

What if SCOTUS messy middle (partial injunction, phased rollback)? Team prices binary: legal = rally, illegal = steepener. Reality likely ambiguous—6-month Congressional window going nowhere. How position?

What if Mag 7 rotation DOES work? Team dismisses via liquidity physics. But if breadth genuinely expands (cyclicals, Europe, Japan absorb flows), equities rally while concentration fades. Underweight risk.

What if BRICS dedollarization accelerates? Gold dismissed as FOMO, but sovereign bid (CBs, gold-backed settlement) could sustain. Oil dismissed as Saudi appeasement, but Iran conflict escalation? Commodity dismissal = tail exposure.

The Edge

Steepener if tariffs struck down—highest conviction, widest misprice. Bond market won't believe 50-150 day workarounds. SOFR underpricing 50-75bps cuts—structural. Lagged disinflation + employment softening = Fed

cover. Oil \$55-56 test with bounce—best risk/reward commodities. Inflation-adjusted floor, geopolitical tailwind temporary. Fade equities rallies, buy dips with bond confirmation—10% earnings supports but multiples need long-end cooperation. Long Europe/Japan over US—structural rotation, dollar weakness, breadth expansion without US compression. Watch NFP/productivity for AI labor cracks—stir opportunity if employment softens visibly.